

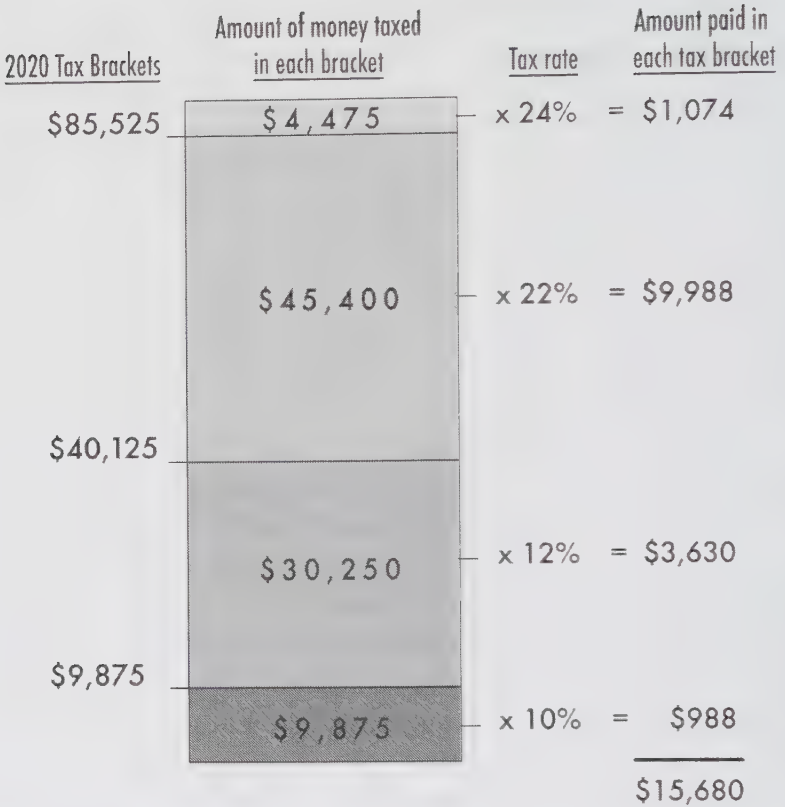


Figure 7.1. Federal taxes in 2020 on a taxable income of \$90,000

Figure 7.1 illustrates how different portions of your \$90,000 taxable income are taxed at different rates. As you can see, only a very small portion of your \$90,000 taxable income is actually taxed at 24%—just \$4,475, to be precise (\$90,000-\$85,525). The majority of your money is taxed at the 22% rate, and actually, more of your income is taxed at the 10% rate than the 24% rate.

To calculate the total amount of money owed in federal taxes, you need to add up all the dollar amounts owed in each tax